Student's Index Number .....

THE PRIME MINISTER'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT AUTHORITIES

ARUSHA REGIONAL MOCK EXAMINATION

FORM TWO

062 **BOOKKEEPING**

TIME 2:30 HRS **MAY 2026**

INSTRUCTIONS.

1. This paper consists of section A, B and C with total of nine questions.
2. Answer all questions
3. All writing must be in black or blue ink.
4. Cellular phones and any unauthorised materials are not allowed in the examination room.

FOR ASSESOR USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESORS INITIALS**
1		
2		
3		
4		
5		
6		
7		
8		
9		
TOTAL		

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SECTION A.

Answer all questions in this section

1. For each of the items (i) –(x) choose the most correct answer from the given alternatives and write its letter in space provided.
   i. The assumption that the business is to continue for a foreseeable future is based on..
      A. The going concern concept
      B. The duality concept
      C. The business entity concept
      D. Matching concept
   ii. Which is the name of the book of original entry used to record the sales of fixed assets on credit.
      A. Sales journal
      B. Sales ledger
      C. Purchases ledger
      D. General journal
   iii. A statement prepared to show the financial position of the business is known as …….
      A. A statement of financial position
      B. An income statement
      C. A trial balance
      D. Cash flow statement
   iv. The term expenses means.
      A. Cost of services used for generating income
      B. Payment of debt for an asset
      C. Asset bought and sold
      D. Cost incurred in buying an asset
   v. If a business pays rent using a cheque; how it is recorded in the cash book.
      A. Debit bank column, credit rent account
      B. Debit cash column, credit bank column
      C. Debit rent account, credit bank column
      D. Debit bank column, credit cash column
   vi. What does a bank overdraft mean
      A. An excess deposit in the bank account
      B. A situation where withdraws exceed available balance
      C. A temporary error in book – keeping
      D. A loan provided by a supplier
   vii. Which of the following is not a banking transaction?
      A. Issuing a cheque to pay rent
      B. Depositing money into a bank account
      C. Paying wages in cash
      D. Receiving payment via bank transfer
   viii. Which of the following errors affects the trial balance agreement?

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A. Error of commission
B. Error of omission
C. Error of single entry
D. Error of principle

ix. Angelfil sold goods for Tzs 250,000 allowing Tzs 42,000 cash discount. How much will be received from customer?
A. TZS 250,000
B. TZS 42,000
C. TZS 290,000
D. TZS 208,000

x. Which one plays the role of a ledger account and book of prime entry.
A. Cash book
B. Purchases Day book
C. Sales journal
D. General journal

i	ii	iii	iv	v	vi	vii	viii	ix	x

2. Match the items in list A with the responses in list B by writing the letter of the correct response below the item number in the table provided.

LIST A	LIST B
i. Goods bought for resale ii. A person sold goods to us on credit basis iii. A book used to record payment and receipt made on cash basis iv. Are accounts with the name of persons v. Appears on the left hand side of an account.	A. Debtor B. Sales C. Debit side D. Creditors E. Personal accounts F. Cash book G. Purchases H. Credit side

LIST A	i	ii	iii	iv	v
LIST B					

SECTION B
Answer all questions from this section

3. Kantai is a Maasai boy, he knows exactly that a petty cash book is a separate cash book specifically maintained to record small cash payment, but he does not know its usefulness. With five different points explain to him the importance of petty cash book and the imprest system.
4. Complete the following table and show which account are to be debited and credited .

TRANSACTION	ACCOUNT TO BE DEBITED	ACCOUNTTO BE CREDITED
Example ;	Furniture a/c	Cash a/c

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Bought office furniture for cash.		
i. A debtor James pays us by cheque		
ii. Bought goods for cash		
iii. Paid cash to Glory		
iv. Sold goods to Juma on Credit		
v. Evance paid us by cheque		

5. The following Transactions were extracted from the books of Mwajuma 31st Jan. 2026.
   Sales…….TZS 81,700
   Purchases …….TZS 68,400
   Opening inventory ……TZS 11,400
   Closing inventory ……TZS 15,200
   Sales return……..TZS 3,800
   Purchases return ……. TZS 2,850
   Carriage inward…….. TZS 3,800
   Advertisement …… TZS 4,750
   Insurance …… TZS 5,700

Required

i. Net sales
ii. Net purchases
iii. Cost of sales
iv. Gross profit
v. Net profit

6. The following is Mr. Kapalatu's business information as at 31st Dec 2025.
   Cash at bank TZS 9,000
   Inventories TZS 25,000
   Debtors Ally – TZS 2,000
   Juma TZS 1,000
   Creditors Peter TZS 2,000
   Motorvan TZS 7000
   Loan from NBC TZS 15,000
   Premises TZS 35,000
   Furniture TZS 8,000
   Capital TZS 70,000
   Land and building TZS 25,000

Required;

Prepare the trial balance as at 31st Dec 2025.

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SECTION C

7. Your bookkeeper extracted a trial balance on 31st Dec 2023, which failed to agree by TZS 159,000 a shortage on the credit column of the trail balance. A suspense account was opened for the difference. During January 2024 the following error were found.
   i. Sales account was undercast by TZS 152,000
   ii. Salaries account was undercast by TZS 68,400
   iii. Sales of goods for TZS 463,600 to Regina was incorrectly debited to Renada's account.
   iv. Discount allowed was overcast by TZS 76,000
   v. TZS 174,800 amount of interest received was incorrectly recorded in the rent income account

Required.

a) Show the journal entries necessary to correct the errors.
b) Draw the suspense account and post the relevant entries

8. From the following details, construct a three-column cash book for Benson and Sons traders and balance the account at the end of the month.
   1.1.2025. Cash balance (DR) ……235,000
   Bank balance (CR)……. 17,500
   3.1.2025. Bought goods and paid by cheque 10,000
   3.1.2025. Received a cheque of 21,000 from Stanley in full settlement of his account 25,000.
   5.1.2025. Paid the following creditors less 10% discount John 20,000, Halima 37,500
   9.1.2025. Deposite into a bank 18,500.
   15.1.2025. Cash sales 55,000/=
   23.01.2025. Bought own machine by cheque 22,500 for personal use
   26.01.2025. Withdraw money from the bank for office use 15,000.
   27.01. 2025. Sold goods and payment was done direct into a bank 45,000
   27.01.2025. Owner introduced another money in the business from his own source cash 25,000
   29.01.2025. Sold goods to Kapombe 12,500
   29.01.2025. Bought goods and pay by cheque 5,000

9. Nyangusi own a business in Nadosoito village you as the only educated person in the field of Bookkeeping, help him to prepare the income Statement from the given information below;
   Capital…….57,000
   Sales…….250,000
   Purchases …… 105,000
   Carriage outward …… 7,000
   Furniture ……. 40,000

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Carriage inward…….. 10,000
Return outward…… 5,000
Return inward …….. 15,000
Rent and rates ……. 20,000
Salaries and wages ……. 30,000
Opening inventories…… 35,000
Buildings …… 50,000
Closing inventories……. 18,000

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